INDEPENDENT VALUATION · BASIC MATERIALS · COKING COAL

Warrior Met Coal, Inc. HCC

A fair price for a good business, with room left

ADD

$104.23 target · 12m

Price (13 Oct 2026)	$93.92
12m total return	+11%
Fair value today	$95.42
Confidence	High

We rate **Warrior Met Coal, Inc. ADD** with a 12-month price target of **$104.23**, **11%** above the $93.92 share price (+11% including the 0.3% dividend yield). The target starts from our blended fair value of $95.42 a share, rolls it forward a year at the 8.7% cost of equity, deducts $0.32 of dividends and gives the Street consensus a 15% weight as a deliberate hedge against model error.

Investment summary

Warrior Met Coal, Inc. generated **$1.31bn** of revenue in FY2025, −14% on the year, at a **3.5%** EBIT margin (razor-thin). Over the 3-year window revenue compounded at −9.0% a year. Consensus looks for revenue of $2.04bn in FY2026 (+56%) and EPS of $6.88, rising to $8.02 in FY2027.

At $93.92 the shares trade on **12.6x** NTM earnings against a 14.0x reference for basic materials (−10%) and on 6.3x EV/EBITDA against 7.0x (−11%).

The Street's mean 12-month target is $109.17 (+16%, 6 analysts). Our model-only target of $103.36 sits 5% below it; the published number blends the two so that neither a model error nor a consensus drift dominates.

The Reloj de inversión reads **Stagflation** with weak conviction; the Materials sleeve has a probability-weighted tilt of **−2.6 pp** a year against the US market. The cycle is context for the call, not an input to the target (page 11).

A reverse DCF shows the price discounts year-one revenue growth of **53.5%** against our 55.5% base, so the market is asking for less than we model. That is the cleanest single measure of how demanding the price is.

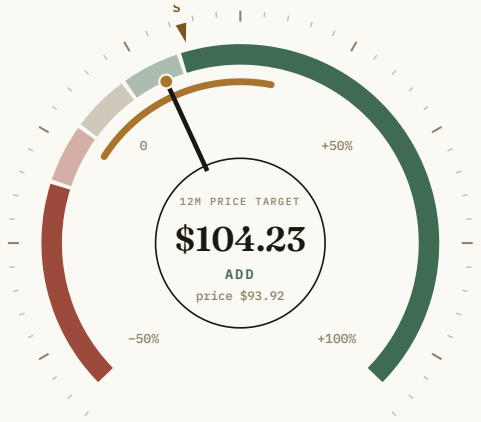
Key risks

- Through-cycle margin and multiple are estimates; a structurally lower commodity price or cost inflation would reset the normalised earnings base.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.

WHAT WOULD CHANGE OUR MIND

- A sustained miss on FY2026 revenue (consensus +56%) or on the EBIT margin path; each 100bps of margin is worth $6.80 a share in the DCF.
- A re-rating of the sector multiple the relative lenses are anchored on, in either direction.
- A move in the cost of equity from today's 8.7%: rates and the equity risk premium are the largest single swing factor in the DCF.
- A change in the Reloj's phase reading that turns the sector's historical tilt from headwind to tailwind, or the reverse.

EXHIBIT 1 12-MONTH EXPECTED RETURN AND TARGET



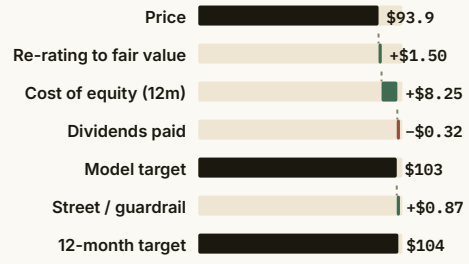
Bear–bull range from the lens ranges; S marks the Street mean.

EXHIBIT 2 KEY DATA

Market cap	$4.96bn
Enterprise value	$4.88bn
Net debt	($82mn)
Net debt / EBITDA	net cash
EV / EBITDA (LTM)	19.3x
P/E (LTM)	86.7x
FCF yield (LTM)	-2.7%
Dividend yield	0.3%
Beta	0.74
Diluted shares	53mn

Source: yfinance; SuperAnalyst.

EXHIBIT 3 FROM PRICE TO TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 4 SUMMARY FINANCIALS AND VALUATION AT THE CURRENT PRICE

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	**$1.53bn**	**$1.31bn**	**$2.04bn**	**$2.29bn**	**$2.42bn**	**$2.53bn**
growth	-9.0%	-14.1%	+55.5%	+12.4%	+5.6%	+4.6%
EBITDA	$442mn	$253mn	$631mn	$726mn	$774mn	$818mn
EBIT margin	16.7%	3.5%	21.3%	22.0%	22.3%	22.7%
EPS	**$4.79**	**$1.08**	**$6.88**	**$8.02**	**$8.61**	**$9.15**
FCFF/share	($2.61)	($2.50)	$0.77	$2.33	$3.40	$4.43
EV/EBITDA	11.0x	19.3x	7.7x	6.7x	6.3x	6.0x
P/E	19.6x	86.7x	13.7x	11.7x	10.9x	10.3x
FCF yield	-2.8%	-2.7%	0.8%	2.5%	3.7%	4.8%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1 − t).

Source: yfinance; SuperAnalyst. Prices and fundamentals as of the report date; analyst consensus. See page 15 for methodology and disclosures.

INVESTMENT THESIS

Why this number, and what it rests on

+11% to a $104.23 target rests on earnings power and a balance sheet that removes financing risk.

1 · Earnings power and returns on capital

Consensus has revenue growing **+56%** in FY2026 and +12% in FY2027; our DCF fades growth from 56% in year one to the 2.5% terminal rate over 10 years, so no single year's step is extrapolated. The business earns **1.9%** on invested capital against an 8.4% cost of capital, a shortfall of 654bps, so on today's returns growth destroys value.

The margin is where the argument sits. The latest EBIT margin of 3% compares with a through-cycle average of 25%; the model flags the business as cyclical (revenue fell 14% in a single year; EBIT margin has swung 45pts peak-to-trough; commodity / capital-cycle industry), so we credit only part of the current margin as durable (a 24% terminal margin in the DCF).

Return history. ROIC has run 73% → 37% → 13% → 2% over the window, so today's 2% is below the 73% peak of the window, and not above the cost of capital. The WACC we compare it with is 8.4%.

2 · Valuation

Our four lenses blend to **$95.42** today, 2% above the price; the heaviest, discounted cash flow (FCFF), carries 30% of the weight at $114.87.

At our target the stock would trade on **14.0x** NTM earnings against 14.0x for the sector, i.e. in line with the sector.

3 · Balance sheet and cash conversion

Warrior Met Coal, Inc. ends FY2025 with $353mn of cash against $271mn of debt, a **net cash** position of $82mn; EBIT covers interest 4.7x. Free cash flow (operating cash flow less capex) was −$100mn, a −2.0% yield on the market cap, and capex ran at 1.7x depreciation.

What the price discounts, and where we differ from the Street

Solving the DCF backwards for the current price gives year-one revenue growth of **53.5%** (terminal growth 1.7%) against our 55.5% base. The market therefore needs less than we forecast; the gap is the upside if delivery is as we model.

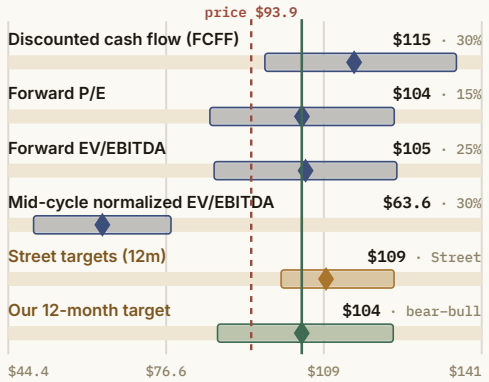
Against a Street mean of $109.17 (+16%), our model-only target of $103.36 is 5% lower. We flag the gap rather than close it: where the model is right the stock has an information edge, where it is wrong the Street's inputs deserve more weight.

In summary

KEY TAKEAWAYS

- ADD: $104.23 target (+11%), $95.42 fair value, 8.7% cost of equity.
- Consensus revenue +56% in FY2026; EBIT margin 3% today, 24% in our terminal year.
- 12.6x NTM P/E against 14.0x for the sector; 14.0x at our target.
- Cycle: Stagflation (weak signal), sector tilt −2.6 pp a year.

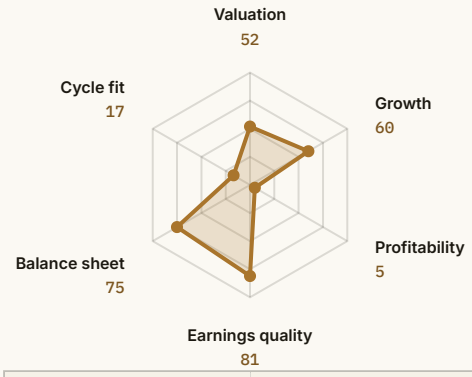
EXHIBIT 5 VALUE PER SHARE BY LENS



4 lenses blend to a fair value of **$95.42** (dispersion 20%). Street mean $109.17 over 6 analysts.

Source: SuperAnalyst valuation model.

EXHIBIT 6 FACTOR SCORECARD (0–100)



VALUATION	GROWTH
52	60
PROFITABILITY	EARNINGS QUALITY
5	81
BALANCE SHEET	CYCLE FIT
75	17

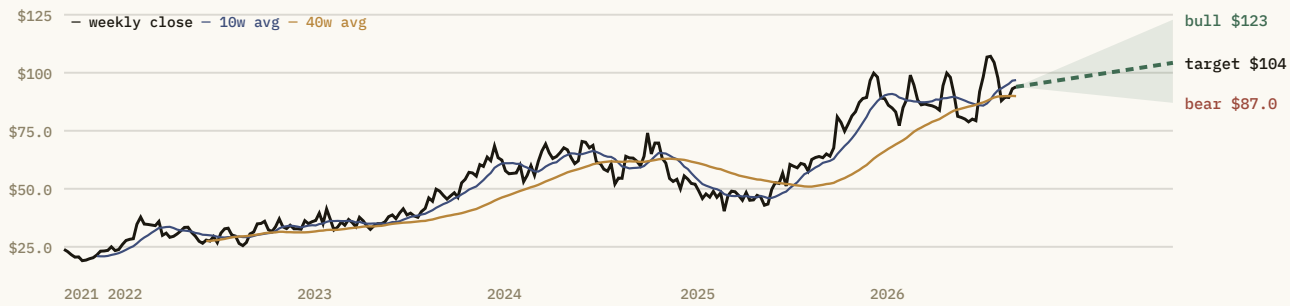
Heuristic scales, defined in the appendix.

EXHIBIT 7 MODEL VERSUS STREET

Street mean target	$109.17
Upside to Street mean	+16%
Street range	$100.00–123.00
Analysts	6
Mean recommendation (1 = buy)	1.9
Our model-only target	$103.36
Divergence vs Street	−5%
Street weight in our target	15%
Published target	**$104.23**

Source: yfinance; SuperAnalyst.

EXHIBIT 8 FIVE YEARS OF PRICE AGAINST OUR 12-MONTH TARGET



Source: yfinance. Weekly closes; shaded cone = bear–bull range for the 12-month target.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · METHOD

How $95.42 of fair value becomes a $104.23 target

Several independent answers to "what is a share worth?", weighted by what fits the business, filtered by explicit guardrails.

Spot margins mislead at both ends of the cycle: value on mid-cycle EBITDA and through-cycle multiples, with forward multiples (scaled for earnings durability) and a mean-reverting DCF as cross-checks. The profile for **HCC** is **Cyclical / Commodities (mid-cycle multiples + DCF)**; it prescribes four methods, of which four produced a usable value.

The lenses, one by one

Discounted cash flow (FCFF) ($114.87 a share, 30% of the weight) values ten years of free cash flow to the firm at an 8.45% WACC with 2.50% terminal growth; the terminal value is $4.04bn (68% of EV). Growth decays geometrically and margins mean-revert, so it does not extrapolate today's profitability; here it sits above the multiples lenses.

Mid-cycle normalized EV/EBITDA ($63.59 a share, 30% of the weight): commodity spot margins mislead at cycle peaks and troughs; this normalises to the through-cycle average margin and multiple.

Forward EV/EBITDA ($104.98 a share, 25% of the weight) capitalises NTM EBITDA of $0.78bn at **7.0x**, then bridges to equity through net cash. The anchor is 7.0x; growth and durability adjustments follow the same logic as the P/E lens, which makes it a capital-structure-neutral cross-check.

Forward P/E ($104.27 a share, 15% of the weight) applies a **14.0x** target multiple to NTM EPS of $7.45. The multiple starts from an anchor of 14.0x (Basic Materials reference 14.0x, no usable peer set), is scaled by 1.00 for durable growth (5.0% durable growth vs 5.0% sector).

What the dispersion tells us. The lenses span $63.59 to $114.87, a 1.8x spread (coefficient of variation 20%). The spread is wide enough that the answer depends on which question is asked: a multiples lens capitalises today's consensus, while the DCF has to earn it. We report the disagreement rather than average it away.

Weights. The profile starts from mid-cycle EBITDA 30%, forward EV/EBITDA 25%, forward P/E 15% and DCF 30%. After the guardrails and the lenses that could not be built are removed, the weights are renormalised over those that remain, which is why they differ from the profile's starting point.

Guardrails: what the model is not allowed to do

Every intervention is explicit. A lens outside 0.2×–5× the share price is excluded (or winsorised if it is the only one); a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is confined to 0.4×–2.5× the price; and with fewer than two usable lenses, or a result forced by a guardrail, the company is published NOT RATED rather than given a number we cannot defend.

- Target anchored 15% to the Street consensus ($109.17, 6 analysts); model-only target $103.36.

From fair value to target

Fair value today $95.42 × (1 + 8.65% cost of equity) − $0.32 dividends = **$103.36** model target; the Street mean of $109.17 at 15% weight moves it to **$104.23**.

Confidence is graded **High**: 4 independent lenses agree on a valuation; lens dispersion is tight (CV 20%); model target is within 25% of the Street; 1 data-quality / earnings-quality flag(s).

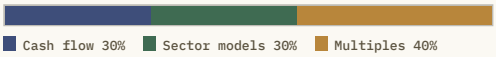
Bear and bull values are the low and high ends of the lens ranges (the DCF's own bear and bull scenarios where it is present), rolled forward the same way. They bracket the model's uncertainty; they are not statistical confidence intervals.

EXHIBIT 9 THE LENSES, WEIGHTS AND RANGES

LENS	VALUE	RANGE	WEIGHT
Discounted cash flow (FCFF)	$114.87	$96.69–135.69	30%
Forward P/E	$104.27	$85.50–123.04	15%
Forward EV/EBITDA	$104.98	$86.37–123.60	25%
Mid-cycle normalized EV/EBITDA	$63.59	$49.60–77.58	30%
Fair value today	**$95.42**		100%

*Source: SuperAnalyst valuation model. * = down-weighted by the guardrail.*

EXHIBIT 10 WEIGHT BY FAMILY OF LENS



Cash flow 30% Sector models 30% Multiples 40%

Source: SuperAnalyst valuation model.

EXHIBIT 11 FROM FAIR VALUE TO PUBLISHED TARGET

Fair value today	$95.42
× (1 + 8.65% cost of equity)	$103.68
− dividends	−$0.32
Model target	**$103.36**
Street mean (15% weight)	$109.17
Published target	**$104.23**

Source: SuperAnalyst valuation model.

EXHIBIT 12 DISCOUNTED CASH FLOW (FCFF): INPUTS

WACC	8.45%
Terminal growth	2.50%
PV of explicit FCFF	$1.94bn
PV of terminal value	$4.04bn (68% of EV)
Enterprise value	$5.98bn
+ Net cash (less minorities)	$0.08bn
Equity value	$6.07bn
Value per share	$114.87

Source: SuperAnalyst valuation model.

EXHIBIT 13 MID-CYCLE NORMALIZED EV/EBITDA: INPUTS

Through-cycle EBIT margin	25.3%
Spot EBIT margin	3.5%
Normalized EBITDA	$0.52bn
EV/EBITDA multiple	6.3x
Enterprise value	$3.28bn
+ Net cash	$0.08bn
Value per share	$63.59

Source: SuperAnalyst valuation model.

EXHIBIT 14 FORWARD EV/EBITDA: INPUTS

NTM EBITDA (from consensus earnings)	$0.78bn
Anchor EV/EBITDA	7.0x
Growth adjustment	×1.00
Earnings-durability factor	×1.00
Target EV/EBITDA	7.0x
Enterprise value	$5.46bn
+ Net cash	$0.08bn
Value per share	$104.98

Source: SuperAnalyst valuation model.

EXHIBIT 15 CONFIDENCE: HIGH

- 4 independent lenses agree on a valuation
- lens dispersion is tight (CV 20%)
- model target is within 25% of the Street
- 1 data-quality / earnings-quality flag(s)

Grade from lens agreement, dispersion, distance to the Street and data-quality flags.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · RELATIVE

What the multiples say, and what we adjust before using them

Sector and peer anchors, scaled for growth, leverage and the durability of the earnings they are applied to.

On the numbers the market pays today, Warrior Met Coal, Inc. looks in line on earnings (12.6x NTM against 14.0x for basic materials, −10%) and cheap on enterprise value (6.3x EV/EBITDA against 7.0x).

Where the anchor comes from

There is no usable peer set here (fewer than three peers with valid multiples), so the relative lenses are anchored on the basic materials reference table: 14.0x P/E, 7.0x EV/EBITDA, 2.0x EV/Sales and 2.0x P/B, with a sector growth rate of 5%. A sector median is a starting point, not a verdict: each lens then adjusts it for the company in front of us.

What we adjust, and why

Growth. The anchor is scaled ×1.00 (5.0% durable growth vs 5.0% sector) — the market pays for growth that lasts, so we use durable earnings growth of 5.0% (consensus FY+2 / FY+1 EPS step; capped at sector growth, cyclical) rather than a one-year consensus jump.

The result is a target P/E of **14.0x** applied to NTM EPS, worth $104.27 a share.

Cross-checks

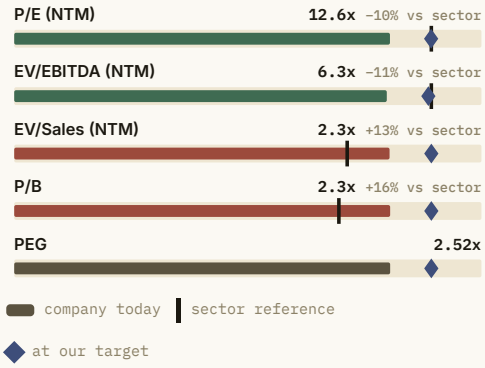
EV/Sales is 2.3x against 2.0x for the sector, price-to-book is 2.3x against 2.0x, free-cash-flow yield is −2.0%, dividend yield is 0.3% and the PEG ratio is 2.52x. These do not enter the target unless a lens is built on them, but they show whether the headline multiple is flattered by one line of the accounts.

Growth-adjusted view. The PEG ratio of 2.52x divides the P/E by durable growth; below 1 the market is paying less than a point of multiple per point of growth. Treat it with caution when growth is a cyclical rebound rather than a trend.

P/E versus EV/EBITDA. The two multiples disagree when capital structures differ. With net cash, enterprise value is lower than market capitalisation, so EV/EBITDA flatters the shares slightly relative to P/E. We use both for that reason.

Relative valuation is only as good as the earnings it is applied to. When forward EPS is far above trailing, a low P/E can be a warning sign rather than a bargain: it is the market declining to capitalise a peak. That is why the financial analysis that follows tests the earnings base before the cash-flow model is built.

EXHIBIT 16 VALUATION MULTIPLES AGAINST THE SECTOR



Source: yfinance; sector reference table; SuperAnalyst.

EXHIBIT 17 MULTIPLES TODAY, SECTOR REFERENCE AND AT OUR TARGET

MULTIPLE	TODAY	SECTOR	PREM.	AT TARGET
P/E (NTM)	12.6x	14.0x	-10%	14.0x
EV/EBITDA (NTM)	6.3x	7.0x	-11%	6.9x
EV/Sales (NTM)	2.3x	2.0x	+13%	2.5x
P/B	2.3x	2.0x	+16%	2.6x
FCF yield (LTM)	-2.0%	–	–	-1.8%
Dividend yield	0.3%	–	–	0.3%
PEG	2.52x	–	–	2.80x

Source: SuperAnalyst valuation model.

EXHIBIT 18 FROM SECTOR ANCHOR TO TARGET MULTIPLE

	P/E	EV/EBITDA
Sector / peer anchor	14.0x	7.0x
× growth	×1.00	×1.00
× earnings durability	×1.00	×1.00
× leverage	×1.00	–
= Target multiple	14.0x	7.0x
Value per share	$104.27	$104.98

Source: SuperAnalyst valuation model.

EXHIBIT 19 SECTOR REFERENCE: BASIC MATERIALS

P/E	14.0x
EV/EBITDA	7.0x
EV/Sales	2.0x
P/B	2.0x
Sector growth	5%
Sector EBIT margin	14%

Source: SuperAnalyst sector reference table.

EXHIBIT 20 MULTIPLES AT THE CURRENT PRICE, BY FISCAL YEAR

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
EPS	$4.79	$1.08	$6.88	$8.02	$8.61	$9.15
FCFF/share	($2.61)	($2.50)	$0.77	$2.33	$3.40	$4.43
EV/EBITDA	11.0x	19.3x	7.7x	6.7x	6.3x	6.0x
P/E	19.6x	86.7x	13.7x	11.7x	10.9x	10.3x
FCF yield	-2.8%	-2.7%	0.8%	2.5%	3.7%	4.8%

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · SCENARIOS AND SENSITIVITY

Range of outcomes, and the levers that move them

Bear, base and bull cases built from the lens ranges and the DCF scenarios, with the DCF's two most important dials.

We weight three outcomes 25 / 50 / 25: a **bear** case of $87.04, a **base** case of $104.23 and a **bull** case of $122.85. The probability-weighted target is **$104.59** (+12% including dividends), close to the base case because the range is roughly symmetric.

What each case needs to be true

Bear. The DCF's bear scenario values the shares at $96.69: slower revenue, margins that revert faster toward the through-cycle level and a higher reinvestment burden. Our published bear target of $87.04 (−7% from today's price) blends that with the lower ends of the multiples lenses.

Base. Consensus for the near years, growth fading geometrically to 2.5%, margins mean-reverting from 3% toward 24%, and an 8.4% WACC: $114.87 a share on the cash-flow lens, $95.42 once the multiples lenses are blended.

Bull. The DCF's bull scenario reaches $135.69: growth that fades more slowly and margins that hold closer to today's level. Our published bull target of $122.85 (+31%) is the upper end of the lens ranges rolled forward.

How sensitive is the DCF?

Across a ±150bps range of WACC and ±100bps of terminal growth the DCF value per share runs from $86.69 to $179.40 (Exhibit 23). The cost of capital matters more than terminal growth: each 75bps of WACC moves the value by about $16.48 (14%), against $3.21 for 50bps of terminal growth.

Risk and reward

Measured from $93.92, the bull case adds $28.93 (+31%) and the bear case costs $6.88 (−7%): an upside-to-downside ratio of **4.2x**. Asymmetry of that kind is what a rating should be built on, provided the bear case is credible.

Stress tests

Shocking one input at a time to the DCF, the most damaging are **EBIT margin −300bps** (−18%) and WACC +100bps (−16%); the most helpful are WACC −100bps (+23%) and EBIT margin +300bps (+18%) (Exhibit 25). Only WACC −100bps lifts the DCF to the blended fair value on its own.

How sensitive is the multiple-based value?

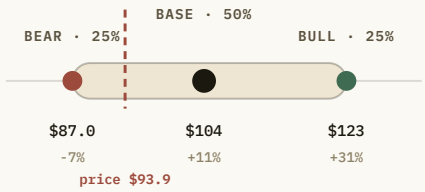
Forward earnings and the target multiple are the inputs that matter most. A 10% change in either NTM EPS or the target multiple moves the forward P/E value by about $10.43 a share (they enter multiplicatively); across the grid (Exhibit 24) the value runs from $66.73 to $150.15.

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$16.48/share (14%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$3.21/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$6.80/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 55.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

The sensitivity tables are shaded against the current price (green above, terracotta below): when every cell is one colour the DCF has a clear view; when the base case sits near the edge of a colour change, the conclusion depends on the inputs.

EXHIBIT 21 BEAR, BASE AND BULL TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 22 SCENARIO TABLE

CASE	PROB.	TARGET	RETURN	DCF
Bear	25%	$87.04	−7%	$96.69
Base	50%	$104.23	+11%	$114.87
Bull	25%	$122.85	+31%	$135.69

Weighting bear / base / bull 25 / 50 / 25 gives **$104.59** (+12% incl. dividends). Bear and bull come from the lens ranges (DCF bear/bull cases in the last column).

Source: SuperAnalyst valuation model.

EXHIBIT 23 DCF VALUE PER SHARE: WACC × TERMINAL GROWTH

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
6.9%	$145	$151	$158	$168	$179
7.7%	$125	$129	$133	$139	$146
8.4%	$109	$112	$115	$118	$122
9.2%	$96.87	$98.57	$100	$103	$105
9.9%	$86.69	$87.81	$89.07	$90.48	$92.07

Shaded against the current price: green above, terracotta below; outlined = base case.

EXHIBIT 24 FORWARD P/E VALUE PER SHARE: TARGET MULTIPLE × NTM EPS

MULTIPLE \ EPS	-20%	-10%	BASE	+10%	+20%
11.2x	$66.73	$75.07	$83.42	$91.76	$100
12.6x	$75.07	$84.46	$93.84	$103	$113
14.0x	$83.42	$93.84	$104	$115	$125
15.4x	$91.76	$103	$115	$126	$138
16.8x	$100	$113	$125	$138	$150

Shaded against the current price; outlined = base case.

EXHIBIT 25 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$96.41	−16%
WACC −100bps	$140.93	+23%
Terminal growth −50bps	$111.91	−3%
Terminal growth +50bps	$118.33	+3%
EBIT margin −300bps	$94.48	−18%
EBIT margin +300bps	$135.26	+18%
Revenue growth 20% lower	$99.70	−13%
Revenue growth 20% higher	$131.67	+15%
Capex +5 points of revenue	$98.23	−14%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · GROWTH AND PROFITABILITY

Growth, margins and earnings

Revenue −9.0% a year over 3 years; the EBIT margin is the swing factor.

Revenue went from $1.74bn in FY2022 to **$1.31bn** in FY2025, a compound rate of **−9.0%** a year. Growth was steady (FY2023 −4%, FY2024 −9%, FY2025 −14%), which makes the forward path easier to underwrite.

Top line

Consensus looks for revenue of **$2.04bn** in FY2026 (+56%) and $2.29bn in FY2027 (+12%). Our DCF takes consensus for the first two years and then lets growth decay geometrically toward the 2.5% terminal rate, so revenue reaches $3.05bn by year 10 (8.8% a year over the period). Large numbers compress growth and competition erodes it; we do not extrapolate any single year.

Margins

The EBIT margin was **3.5%** in FY2025 (razor-thin, below the 14% sector reference), within a range of +3% (FY2025) to +48% (FY2022) over the window. Gross margin stood at 8.5% (from 51% at the start of the window), and net margin at 4.4%. Against a through-cycle EBIT margin of 25%, today's level is below normal; the DCF reverts 60% of the gap by the terminal year, landing at 24%.

The margin is the most valuable single input after the discount rate: each 100bps of EBIT margin across the forecast is worth about **$6.80** a share in the DCF.

Earnings per share

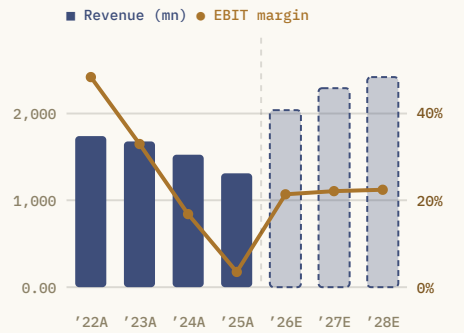
Diluted EPS was $1.08 in FY2025 (FY2022 $12.40, FY2023 $9.20, FY2024 $4.79 before). Consensus has **$6.88** for FY2026 and **$8.02** for FY2027, which blends to **$7.45** on a next-twelve-months basis.

The table below the text sets out the income statement; forecast columns (shaded) are consensus where it exists and our DCF base case otherwise. Any line a provider does not report is shown as a dash rather than estimated.

WHAT TO WATCH

- FY2026 revenue against the $2.04bn consensus path.
- The EBIT margin against the 24% terminal level our DCF assumes.
- Gross-margin direction: it separates pricing power from volume.

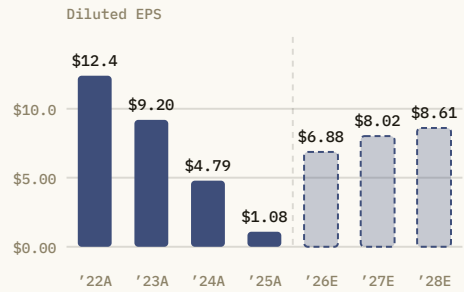
EXHIBIT 26 REVENUE AND EBIT MARGIN



Revenue compounds **+23%** a year to FY2028E on the base case; EBIT margin 3% → 22%.

Source: yfinance; SuperAnalyst.

EXHIBIT 27 DILUTED EPS, ACTUAL AND CONSENSUS



Consensus EPS $6.88 → $8.02 for FY2026–2027; NTM P/E 12.6x.

Source: yfinance; SuperAnalyst.

EXHIBIT 28 GROWTH AND MARGIN BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
Revenue growth	–	−4%	−9%	−14%
Gross margin	51%	36%	21%	9%
EBIT margin	48%	33%	17%	3%
Net margin	37%	29%	16%	4%

Source: yfinance; SuperAnalyst.

EXHIBIT 29 INCOME STATEMENT

$MN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**1,739**	**1,677**	**1,525**	**1,310**	**2,037**	**2,290**	**2,418**
growth	–	−3.6%	−9.0%	−14.1%	55.5%	12.4%	5.6%
Gross profit	885.8	601.5	318.5	111.4	–	–	–
gross margin	50.9%	35.9%	20.9%	8.5%	–	–	–
EBITDA	929.8	696.7	441.9	252.8	630.6	725.7	774.2
EBITDA margin	53.5%	41.6%	29.0%	19.3%	31.0%	31.7%	32.0%
EBIT	**837.0**	**549.7**	**255.4**	**45.73**	**433.5**	**504.0**	**540.1**
EBIT margin	48.1%	32.8%	16.7%	3.5%	21.3%	22.0%	22.3%
Net income	641.3	478.6	250.6	57.00	363.0	423.5	454.4
net margin	36.9%	28.5%	16.4%	4.4%	17.8%	18.5%	18.8%
Diluted EPS	**$12.40**	**$9.20**	**$4.79**	**$1.08**	**$6.88**	**$8.02**	**$8.61**

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · CASH FLOW AND BALANCE SHEET

Cash generation, capital intensity and the balance sheet

Free cash flow of −$100mn; net cash; ROIC 2% vs WACC 8.4%.

Operating cash flow of $229mn funded $330mn of capex in FY2025, leaving free cash flow of **−$100mn** — 4.0x net income and a −2.0% yield on the market capitalisation.

Capital intensity

Capex ran at **25%** of sales (from 12% in FY2022), 1.75x depreciation and amortisation. Above 1x the company is investing for growth, so free cash flow trails earnings until that spending matures; our DCF converges capex to 1.10x D&A by the terminal year so that growth is funded without permanent over- or under-investment.

Cash conversion

Free cash flow was negative (−$100mn): the business is consuming cash rather than generating it, and that is funded from the balance sheet ($353mn of cash). On free cash flow the shares yield −2.0%, and the 0.3% dividend is not covered by it.

Balance sheet

Warrior Met Coal, Inc. holds **$353mn** of cash and short-term investments against $271mn of debt: a net cash position of $82mn. EBIT covers interest 4.7x, which our credit screen maps to A; the current ratio is 3.19x. Shareholders' equity is $2.14bn, 2.3x book at the current price.

Returns on capital

ROIC is **1.9%** against an 8.4% WACC, a spread of −654bps; ROE is 2.7% and ROA 2.0%. Over the window ROIC moved 73% → 37% → 13% → 2%, so today's return is below the 73% peak of the window, and not above the cost of capital. The DuPont split for FY2025 is a 4.4% net margin × 0.47x asset turnover × 1.30x equity multiplier = 2.7% ROE: returns come from profitability, not from leverage.

Working capital. The cash conversion cycle is 102 days (receivables 51, inventory 72, payables 20). In a growth phase that cycle consumes cash; if growth slows, the same cycle releases it, which is part of why free cash flow can run ahead of earnings in a downturn.

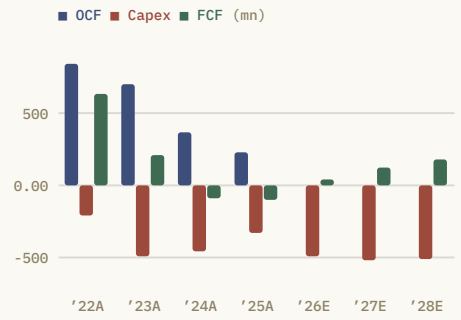
Capital return. The dividend is $0.32 a share (0.3% yield). Buybacks are not captured in the data we use, so total shareholder yield may be higher.

Statements are shown on page 14; forecast cash flow is unlevered (free cash flow to the firm) so that it can be discounted at the WACC without double-counting the interest tax shield.

KEY TAKEAWAYS

- Free cash flow −$100mn; 4.0x net income.
- Net cash balance sheet.
- ROIC 2% against an 8.4% WACC.

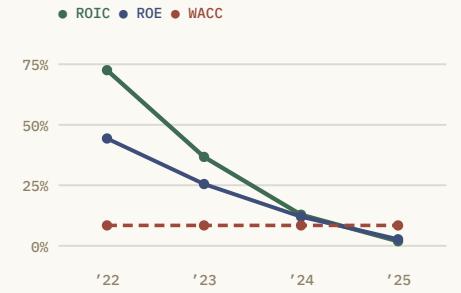
EXHIBIT 30 CASH GENERATION



FCF -100.4mn last year, -1.8x net income; capex intensity 1.7x D&A.

Source: yfinance; SuperAnalyst.

EXHIBIT 31 ROIC AND ROE AGAINST WACC



ROIC 2% vs WACC 8.4%: returns below the cost of capital.

Source: SuperAnalyst; NOPAT = EBIT × (1 − tax).

EXHIBIT 32 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
ROE	44.3%	25.5%	12.0%	2.7%
ROA	31.6%	20.3%	9.7%	2.0%
ROIC	72.5%	36.7%	12.8%	1.9%
Asset turnover	0.86x	0.71x	0.59x	0.47x
Equity multiplier	1.40x	1.26x	1.24x	1.30x

Source: SuperAnalyst valuation model.

EXHIBIT 33 BALANCE SHEET

$MN	FY2022A	FY2023A	FY2024A	FY2025A
Cash & short-term investments	838.1	747.2	506.2	353.2
Total debt	335.7	173.2	173.0	270.9
Net debt / (net cash)	(502.4)	(574.0)	(333.1)	(82.28)
Net debt / EBITDA	net cash	net cash	net cash	net cash
Total assets	2,028	2,357	2,592	2,784
Shareholders' equity	1,448	1,874	2,091	2,141
Book value / share	$27.99	$36.02	$39.94	$40.71

Reported fiscal years; providers do not forecast the balance sheet.

EXHIBIT 34 CASH FLOW

$MN	FY2022A	FY2023A	FY2024A	FY2025A
Operating cash flow	841.9	701.1	367.4	229.2
Capex	(208.7)	(491.7)	(457.2)	(329.6)
Free cash flow	633.2	209.4	(89.77)	(100.4)
FCF margin	36.4%	12.5%	−5.9%	−7.7%
FCF / net income	1.0x	0.4x	net cash	net cash
Capex / D&A	1.8x	3.9x	3.0x	1.7x

Reported fiscal years; forecast free cash flow is shown in the DCF build.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · EARNINGS QUALITY

Earnings quality and financial health

Are the reported numbers backed by cash, is the balance sheet safe, and is the earnings base durable?

Accounting-based screens give a Piotroski F-score of **4** out of 9 testable, an Altman Z of **6.4** (safe) and Sloan accruals of **−6.4%** of assets. Taken together the signals are mixed, so we lean harder on cash-flow evidence than on reported earnings.

Piotroski F-score

The score counts nine binary tests of profitability, leverage and efficiency. Warrior Met Coal, Inc. passes four — positive return on assets, positive operating cash flow, cash flow exceeds net income (low accruals) and no dilution (share count not up); it fails five: return on assets improving, leverage falling, current ratio improving, gross margin improving and asset turnover improving.

The failures are worth reading in context: these are year-on-year improvement tests, so they say the trend slipped in the latest year, not that the business is weak.

- **Profitability**: 3 of 4 passed
- **Leverage and liquidity**: 1 of 3 passed
- **Efficiency**: 0 of 2 passed

Distress risk

Altman's Z-score combines working capital, retained earnings, operating profit, market value of equity relative to liabilities and sales to assets. At **6.4** Warrior Met Coal, Inc. sits in the safe zone (above 2.99 is safe, below 1.81 is distress). A score this high is helped by a large market capitalisation relative to liabilities, so it mainly confirms the absence of balance-sheet stress rather than measuring quality of earnings.

Accruals and the cash cycle

Sloan accruals — net income less operating cash flow, scaled by assets — are −6.4%. Readings below zero mean earnings are more than backed by cash; strongly positive readings are the classic marker of aggressive accounting. Working capital runs on DSO 51 days, DIO 72 days, DPO 20 days, a cash conversion cycle of 102 days. A cycle of that length ties up cash as the company grows, which is why the DCF charges 5.0% of incremental revenue to working capital.

Is the earnings base durable?

Not on the evidence of the history. The model flags the earnings as cyclical: revenue fell 14% in a single year; EBIT margin has swung 45pts peak-to-trough; commodity / capital-cycle industry. Forward earnings cannot be compared with a through-cycle average here (the average is not positive or not available), so no durability haircut is applied to the multiples (factor 1.00).

Forward EPS is 6.9x trailing: earnings are in a steep inflection and carry high forecast risk.

Scorecard. Of six factors scored 0–100, earnings quality (81) is the strongest and profitability (5) the weakest; the scales are given in the appendix.

KEY TAKEAWAYS

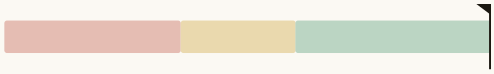
- Piotroski 4/9, Altman Z 6.4 (safe).
- Accruals −6.4% of assets: earnings are backed by cash.
- No durability haircut applied.

EXHIBIT 35 PIOTROSKI F-SCORE: 4 OF 9

●	Positive return on assets
●	Positive operating cash flow
●	Return on assets improving
●	Cash flow exceeds net income (low accruals)
●	Leverage falling
●	Current ratio improving
●	No dilution (share count not up)
●	Gross margin improving
●	Asset turnover improving

Nine binary tests; green = pass, red = fail, grey = not computable.

EXHIBIT 36 ALTMAN Z-SCORE: 6.4 (SAFE ZONE)



SLOAN ACCRUALS	OCF / NET INCOME
-6.4%	4.02x

Original industrial form: > 2.99 safe, 1.81–2.99 grey, < 1.81 distress.

EXHIBIT 37 WORKING-CAPITAL CYCLE

DSO 51 d	DIO 72 d
DPO 20 d	CCC 102 d

Source: yfinance; SuperAnalyst.

EXHIBIT 38 EARNINGS DURABILITY

Trailing EPS	$1.08
Consensus EPS FY2026	$6.88
Consensus EPS FY2027	$8.02
NTM EPS used	**$7.45**
Through-cycle EPS	$6.87
Forward ÷ through-cycle	1.1x
Durable EPS growth used	5.0%
Durability factor on multiples	**×1.00**

Source: SuperAnalyst valuation model.

EXHIBIT 39 DUPONT DECOMPOSITION, FY2025

Net margin	4.4%
× Asset turnover	0.47x
× Equity multiplier	1.30x
= ROE	**2.7%**

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (1/2)

DCF: the assumptions behind the cash flows

Consensus for the near years, then geometric growth decay, mean-reverting margins and reinvestment tied to growth and returns.

The DCF is the cross-check that ignores what other investors pay. It values **ten years** of unlevered free cash flow plus a terminal value, discounted at the **8.45%** WACC. The early years follow consensus; thereafter growth decays geometrically and margins mean-revert, so the model cannot extrapolate a single strong year.

The drivers

Revenue growth: `55.5% → 2.5% over 10y`. Years 1–2 follow consensus revenue for FY2026 and FY2027. Growth then decays geometrically from 7.0% to the 2.5% terminal rate as revenue compounds toward $3.05bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.

EBIT margin: `3.5% → 21.3% → 24.0% (expands)`. Reported margin is 3.5%; year-1 margin is 21.3%. This is a cyclical business, so we revert 60% of the way toward the through-cycle average of 25.3%, landing at 24.0% — crediting some but not all of current profitability as durable.

Reinvestment (capex): `24.1% → 10.6% of sales`. Starts at the historical capex intensity (24.1%) against D&A of 9.7%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.

Working capital: `5.0% of Δrevenue`. Incremental working capital absorbs 5.0% of each year's revenue increase (historical median) — a cash drag as the business scales.

Tax rate: `14.3%`. Normalised to the trailing effective rate of 14.3%, applied to EBIT to derive NOPAT.

Terminal growth: `2.5%`. At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

Cost of capital

The cost of equity is **8.65%**: a 4.3% risk-free rate plus a beta of **0.95** times a 4.6% equity risk premium. The beta is blended: 50% Blume-adjusted regression, 50% industry bottom-up. Debt costs 5.5% before tax (A, EBIT/int = 4.7x), 4.7% after tax, and makes up 5.2% of the capital structure at market values, so the WACC is 8.45%.

Terminal value

Terminal growth is **2.5%**, at or below long-run nominal GDP, with terminal reinvestment of g ÷ ROIC (19% of NOPAT at a 13% terminal ROIC). The terminal value is **68%** of enterprise value.

EXHIBIT 40 COST OF CAPITAL BUILD

Risk-free rate	4.30%
Equity risk premium	4.60%
Beta used	0.95
Cost of equity	**8.65%**
Cost of debt (after tax)	4.71%
Equity / debt weights	95% / 5%
WACC	**8.45%**

Beta: blended: 50% Blume-adjusted regression, 50% industry bottom-up.

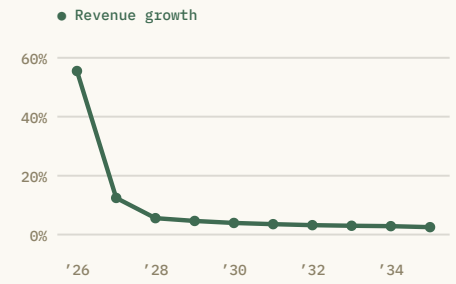
Source: SuperAnalyst valuation model.

EXHIBIT 41 DCF DRIVERS ALONG THE FORECAST

	2026E	2028E	2030E	2035E
Revenue growth	56%	6%	4%	2%
EBIT margin	21%	22%	23%	24%
Capex / revenue	24%	21%	18%	11%
FCFF margin	2%	7%	11%	19%

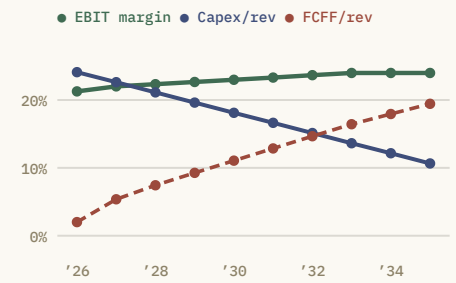
Source: SuperAnalyst valuation model.

EXHIBIT 42 REVENUE GROWTH: CONSENSUS, THEN GEOMETRIC DECAY



Source: SuperAnalyst valuation model.

EXHIBIT 43 REINVESTMENT AND PROFITABILITY PATH



Source: SuperAnalyst valuation model.

EXHIBIT 44 FREE-CASH-FLOW BUILD · $MN

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**2,037**	**2,290**	**2,418**	**2,530**	**2,630**	**2,722**	**2,809**	**2,893**	**2,975**	**3,049**
growth	55.5%	12.4%	5.6%	4.6%	4.0%	3.5%	3.2%	3.0%	2.8%	2.5%
EBIT	433.5	504.0	540.1	573.4	604.8	634.9	664.4	693.7	713.3	731.1
EBIT margin	21.3%	22.0%	22.3%	22.7%	23.0%	23.3%	23.7%	24.0%	24.0%	24.0%
NOPAT	371.4	431.8	462.8	491.3	518.2	544.0	569.3	594.3	611.1	626.4
+ D&A	197.2	221.6	234.0	244.9	254.6	263.5	271.9	280.0	287.9	295.1
− Capex	(491.3)	(518.0)	(510.8)	(496.5)	(476.9)	(452.8)	(425.2)	(394.6)	(361.2)	(324.6)
− Δ working capital	(36.36)	(12.63)	(6.41)	(5.60)	(5.01)	(4.61)	(4.34)	(4.18)	(4.09)	(3.72)
Unlevered FCF	**40.86**	**122.9**	**179.7**	**234.0**	**290.9**	**350.1**	**411.6**	**475.5**	**533.7**	**593.2**
Discount factor	0.960	0.885	0.817	0.753	0.694	0.640	0.590	0.544	0.502	0.463
Present value	39.24	108.8	146.7	176.2	202.0	224.1	243.0	258.9	267.9	274.6

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (2/2)

DCF: what it values, and what the price requires

$114.87 a share on the cash-flow lens; the terminal value carries 68% of enterprise value.

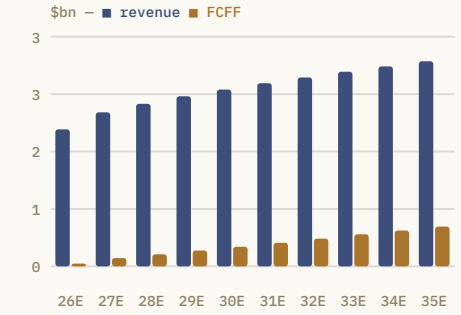
The base case gives an enterprise value of **$5.98bn** and an equity value of **$6.07bn**, or **$114.87** a share (+22% against the price). That is the highest of our lenses, and the triangulation weights it accordingly.

Where the value sits

Explicit cash flows contribute $1.94bn and the terminal value $4.04bn (68% of EV). The terminal value implies an exit multiple of **8.5x** EBITDA against 19.3x today, a far lower multiple than the market pays now, which is where much of the gap to the multiples lenses comes from.

Terminal ROIC is 13.1% against an 8.4% WACC, so growth in perpetuity still creates a little value; if returns fell to the cost of capital the terminal value would be worth less than shown.

EXHIBIT 45 REVENUE AND FREE CASH FLOW TO THE FIRM

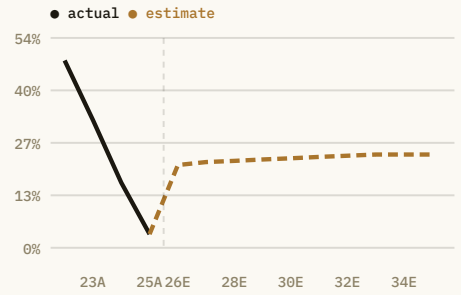


Source: SuperAnalyst valuation model.

Why the DCF sits above the multiples

The DCF is the more generous lens here: it credits ten years of growth and a terminal value, while forward multiples capitalise one or two years of earnings at a sector-anchored multiple. Terminal value is 68% of the DCF, so the premium to the multiples rests heavily on the long-run assumptions. Neither answer is wrong; the gap measures how much the market is willing to pay today for growth that has not yet been delivered.

EXHIBIT 46 EBIT MARGIN PATH



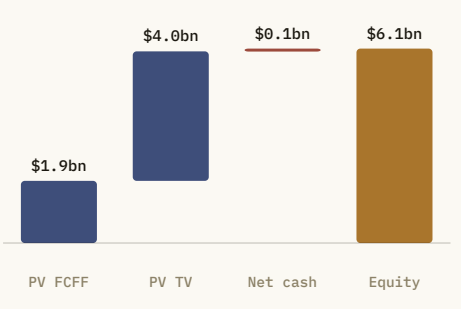
Source: SuperAnalyst valuation model.

Reverse DCF: what the price needs

Holding our cost of capital and long-run assumptions, the current price requires year-one revenue growth of **53.5%** (terminal growth 1.7%) against our 55.5%. The market is therefore pricing in less than we model.

Implied multiples. At the DCF value of $114.87 the shares would trade on 15.4x NTM EPS, against 12.6x today and 14.0x for the sector. That is a useful sanity check: a DCF that implies a multiple far below any peer is usually telling us about its own conservatism as much as about the stock.

EXHIBIT 47 ENTERPRISE VALUE TO EQUITY VALUE



Source: SuperAnalyst valuation model.

Model diagnostics

- Terminal EV/EBITDA vs today: 8.5x implied vs 20.8x current — ok
- Terminal ROIC vs WACC: 13.1% vs 8.4% — ok

The bear and bull scenarios bracket the base value at $96.69 and $135.69; the sensitivity table on page 5 shows the effect of the discount rate and terminal growth.

EXHIBIT 48 DCF OUTPUTS

WACC 8.45%	TERMINAL GROWTH 2.50%
TERMINAL VALUE / EV 68%	ENTERPRISE VALUE $5.98bn
EQUITY VALUE $6.07bn	IMPLIED EXIT EV/EBITDA 8.5x
TERMINAL ROIC 13%	DCF VALUE / SHARE $114.87

Source: SuperAnalyst valuation model.

EXHIBIT 49 MODEL DIAGNOSTICS

CHECK	READING	STATUS
Terminal EV/EBITDA vs today	8.5x implied vs 20.8x current	ok
Terminal ROIC vs WACC	13.1% vs 8.4%	ok

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

MACRO CONTEXT · RELOJ DE INVERSIÓN

Where the cycle is: Stagflation, weak signal

Growth and inflation read from 28 FRED series, expressed as probabilities of four phases rather than a single label.

The Reloj de inversión — our own cycle model, published as a separate project — classifies the US economy each month into one of four phases from growth and inflation. Its latest reading (2026-10) is **Stagflation** (the Reloj's "Estanflación") with **weak** conviction: 37% against 36% for Overheat.

How the Reloj reads the cycle

Twenty-eight FRED series are converted to robust z-scores and combined by principal components into a growth axis and an inflation axis; the month's position on that plane, and its uncertainty, give a probability for each phase. A phase is Recovery (growth above trend, inflation below), Overheat (both above), Stagflation (growth below, inflation above) or Reflation (both below).

The current reading

Growth sits at **−0.01σ** and inflation at **+0.19σ** of their ten-year norms, i.e. close to the centre of the plane, where phase calls are least reliable. Over three months growth has moved −0.04σ and inflation −0.07σ. The model's 12-month recession probability is **8%**.

Why a weak signal changes how we use it

Only 1.1 percentage points separate the first and second phase. When the call is that close, naming one phase and acting on it would be false precision; the more honest estimate is the probability-weighted one. That is what we use on the next page: each phase's historical sector return, weighted by today's phase probabilities.

What each phase has favoured

The Reloj's rotation playbook, built from the same history (inverse volatility), leans on different sleeves in each phase:

- **Recovery**: Consumer staples (22%), Health care (21%) and Materials (20%)
- **Overheat**: Consumer staples (42%), Financials (34%) and Energy (24%)
- **Stagflation**: Utilities (32%), Industrials (26%) and Semiconductors (22%)
- **Reflation**: Gold miners (20%), Consumer staples (18%) and Health care (18%)

How long in this phase. The Reloj has called Stagflation for three consecutive months, and for 68% of the last 8 years. A phase that has just changed carries more uncertainty than one that has persisted.

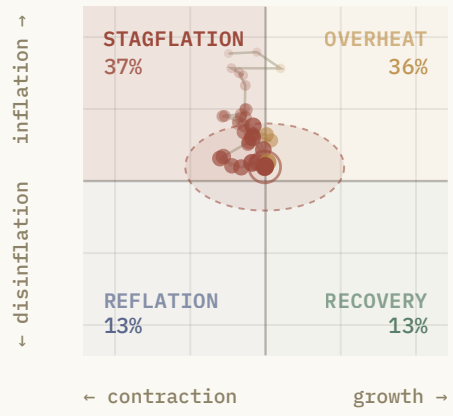
The macro read is context for the valuation. It does not move our price target, but it does tell us whether the sector a company belongs to has historically had the wind at its back or in its face.

Direction of travel. A year ago the Reloj plotted at growth −0.56σ and inflation +0.34σ; it now plots at −0.01σ and +0.19σ, a drift toward stronger growth and little change in inflation.

KEY TAKEAWAYS

- Stagflation, weak signal: 37% vs 36% for Overheat.
- Growth −0.01σ, inflation +0.19σ; 12-month recession probability 8%.
- We weight phases by probability; the label alone is not a forecast.

EXHIBIT 50 GROWTH × INFLATION PLANE, LAST 36 MONTHS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 51 PHASE PROBABILITIES

Recovery	13%
Overheat	36%
Stagflation	**37%**
Reflation	13%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 52 THE READING IN NUMBERS

GROWTH Z -0.01σ	INFLATION Z +0.19σ
RECESSION 12M 8%	GROWTH Δ3M -0.04σ
INFLATION Δ3M -0.07σ	DATA live

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Data: live, 2026-10.

EXHIBIT 53 WHAT THE RELOJ'S PLAYBOOK LEANS ON, BY PHASE

Recovery	Consumer staples, Health care, Materials
Overheat	Consumer staples, Financials, Energy
Stagflation	Utilities, Industrials, Semiconductors
Reflation	Gold miners, Consumer staples, Health care

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. 28 FRED series; robust z-scores and PCA.

MACRO CONTEXT · SECTOR EVIDENCE

What the Materials sleeve has paid in each phase, and where that leaves us

Excess returns against the US market by phase, shrunk toward zero, with the statistics that say how much to trust them.

We map **Warrior Met Coal, Inc.** to the Reloj's **Materials** sleeve, which it tracks through IYM and XLB; the Reloj's evidence for Materials runs back to 1970 and covers 226 months in its longest phase.

What the sector has paid in each phase

- **Recovery**: 9.0% a year on average, +2.1 pp a year versus the US market (t = +0.7, hit rate 62%, no-signal evidence)
- **Overheat**: −1.6% a year on average, −6.8 pp a year versus the US market (t = −2.1, hit rate 52%, moderate evidence)
- **Stagflation** (current): 0.8% a year on average, −4.8 pp a year versus the US market (t = −1.5, hit rate 57%, weak evidence)
- **Reflation**: 18.9% a year on average, +10.0 pp a year versus the US market (t = +3.0, hit rate 64%, strong evidence)

Read these with the statistics in mind. A t-statistic smaller than about 2 in absolute value means the sector's return in that phase cannot be told from chance; across all sector × phase cells the Reloj tests, only 25 of 192 survive false-discovery control. That is why the Reloj shrinks every estimate toward zero, and why we quote the shrunk figure.

The probability-weighted tilt

Weighting each phase's shrunk excess return by today's phase probabilities gives a tilt of **−2.6 pp** a year for Materials against the US market. That is large enough to matter against our valuation call, though still within the statistical noise of the underlying estimates.

Scenario: the cycle tips. If the Reloj's runner-up, Overheat, took over, the sector's historical edge would move from −4.8 pp to −6.8 pp a year. Across the four phases Materials has done best in Reflation (+10.0 pp) and worst in Overheat (−6.8 pp).

Playbook and ETF exposure

Materials is not in the Reloj's playbook for the current phase.

Putting the cycle and the valuation together

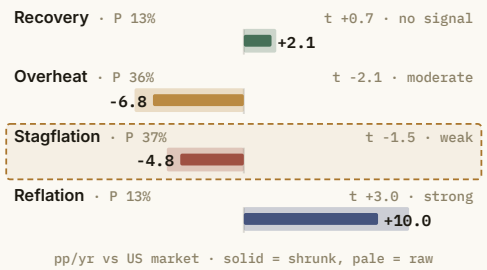
Valuation points up (+11% expected return) while the cycle's historical tilt is a modest headwind (−2.6 pp a year). We read that as a reason to size positions with care and to watch the phase reading, not as a reason to override the valuation.

KEY TAKEAWAYS

- Materials tilt −2.6 pp a year, probability-weighted; current-phase edge −4.8 pp.
- Not in the playbook for the current phase.
- Context for the valuation, not an input to the target.

Source: Reloj de inversión, github.com/Perez849/reloj-inversion. The tilt describes historical behaviour; it is not an input to the target and not investment advice.

EXHIBIT 54 MATERIALS: EXCESS RETURN BY PHASE



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 55 HISTORICAL EVIDENCE FOR MATERIALS

PHASE	ANN.	VS MKT	T	HIT	N
Recovery	9.0%	+2.1	+0.7	62%	187
Overheat	-1.6%	-6.8	-2.1	52%	120
Stagflation •	0.8%	-4.8	-1.5	57%	226
Reflation	18.9%	+10.0	+3.0	64%	148

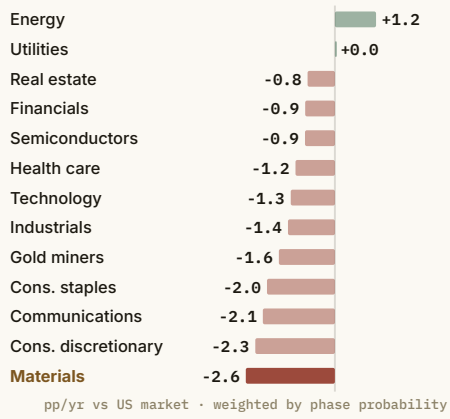
Ann. = sector annual return in the phase; vs mkt = shrunk excess return (pp); t = Newey-West; n = months.

EXHIBIT 56 THE RELOJ'S PLAYBOOK NOW: STAGFLATION

ALLOCATION	WEIGHT
Industrials	26.0%
Semiconductors	22.2%
Utilities	31.8%
Gold miners	6.0%
Gold bullion	14.0%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Scheme: Inverse volatility.

EXHIBIT 57 PROBABILITY-WEIGHTED TILT, ALL SECTORS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Highlighted = this company's sector.

EXHIBIT 58 ETF EXPOSURE

ETFS
IYM · XLB

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

FACTORS, CATALYSTS AND RISKS

What moves the stock, and what could go wrong

Exposure scored from the model's sensitivities and the company's history; levers quantified in value per share.

We scored nine macro and company-specific factors from the model and the reported history. **High exposure**: interest rates / discount rate, economic cycle / demand, inflation / input costs, commodity prices, capital intensity and pricing power / margin stability. **Medium**: competitive erosion and execution vs expectations. **Low**: credit & refinancing.

What moves the stock most

Interest rates / discount rate (high). Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations. Evidence: 75bps of WACC ≈ $16.48/sh (14%); TV = 68% of EV.

Economic cycle / demand (high). Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings. Evidence: Revenue growth volatility σ = 4.3% over 3y.

Inflation / input costs (high). Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L. Evidence: −100bps EBIT margin ≈ −$6.80/sh; margin σ = 16.8%.

Key risks

- Through-cycle margin and multiple are estimates; a structurally lower commodity price or cost inflation would reset the normalised earnings base.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

How big are the risks?

The levers behind these exposures are quantified on page 5. Translating the risks into the DCF: EBIT margin −300bps would cut the DCF value by 18%; WACC +100bps would cut the DCF value by 16%; capex +5 points of revenue would cut the DCF value by 14%. These are single-factor shocks; in practice they arrive together (a de-rating and an estimate cut usually do), so the combined effect is larger than any one of them.

What we would monitor

- Delivery against the FY2026 revenue and EPS path in quarterly results, the cleanest re-rating trigger either way.
- The EBIT margin, and whether pricing, mix and cost discipline hold it near the level the DCF assumes.
- The Reloj's phase and probabilities, monthly: a move of the leading phase changes the sector's historical tilt.
- Changes to the cost of equity: rates and the equity risk premium are the single largest swing factor in the DCF.

Risks are listed in the order the model ranks them, not in order of probability; several interact (a de-rating and an estimate cut usually arrive together).

EXHIBIT 59 FACTOR EXPOSURE

FACTOR	EXPOSURE
Interest rates / discount rate	HIGH
Economic cycle / demand	HIGH
Inflation / input costs	HIGH
Credit & refinancing	LOW
Commodity prices	HIGH
Competitive erosion	MEDIUM
Execution vs expectations	MEDIUM
Capital intensity	HIGH
Pricing power / margin stability	HIGH

Source: SuperAnalyst valuation model.

EXHIBIT 60 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$96.41	−16%
WACC −100bps	$140.93	+23%
Terminal growth −50bps	$111.91	−3%
Terminal growth +50bps	$118.33	+3%
EBIT margin −300bps	$94.48	−18%
EBIT margin +300bps	$135.26	+18%
Revenue growth 20% lower	$99.70	−13%
Revenue growth 20% higher	$131.67	+15%
Capex +5 points of revenue	$98.23	−14%

Source: SuperAnalyst valuation model.

EXHIBIT 61 WHAT EACH LEVER IS WORTH (DCF)

LEVER	PER SHARE	% OF DCF
WACC ±75bps	$16.48	14%
Terminal growth ±50bps	$3.21	3%
EBIT margin +100bps	$6.80	6%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.

APPENDIX A

Financial statements

Reported fiscal years with the DCF base case and consensus as shaded forecast columns. Currency USD; mn unless noted.

EXHIBIT 62 INCOME STATEMENT

$MN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**1,739**	**1,677**	**1,525**	**1,310**	**2,037**	**2,290**	**2,418**
growth	–	-3.6%	-9.0%	-14.1%	55.5%	12.4%	5.6%
Gross profit	885.8	601.5	318.5	111.4	–	–	–
gross margin	50.9%	35.9%	20.9%	8.5%	–	–	–
EBITDA	929.8	696.7	441.9	252.8	630.6	725.7	774.2
EBITDA margin	53.5%	41.6%	29.0%	19.3%	31.0%	31.7%	32.0%
EBIT	**837.0**	**549.7**	**255.4**	**45.73**	**433.5**	**504.0**	**540.1**
EBIT margin	48.1%	32.8%	16.7%	3.5%	21.3%	22.0%	22.3%
Net income	641.3	478.6	250.6	57.00	363.0	423.5	454.4
net margin	36.9%	28.5%	16.4%	4.4%	17.8%	18.5%	18.8%
Diluted EPS	**$12.40**	**$9.20**	**$4.79**	**$1.08**	**$6.88**	**$8.02**	**$8.61**

EXHIBIT 63 BALANCE SHEET

$MN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Cash & short-term investments	838.1	747.2	506.2	353.2	–	–	–
Total debt	335.7	173.2	173.0	270.9	–	–	–
Net debt / (net cash)	(502.4)	(574.0)	(333.1)	(82.28)	–	–	–
Net debt / EBITDA	net cash	net cash	net cash	net cash	–	–	–
Total assets	2,028	2,357	2,592	2,784	–	–	–
Shareholders' equity	1,448	1,874	2,091	2,141	–	–	–
Book value / share	$27.99	$36.02	$39.94	$40.71	–	–	–

EXHIBIT 64 CASH FLOW

$MN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Operating cash flow	841.9	701.1	367.4	229.2	–	–	–
Capex	(208.7)	(491.7)	(457.2)	(329.6)	(491.3)	(518.0)	(510.8)
Free cash flow	**633.2**	**209.4**	(89.77)	(100.4)	**40.86**	**122.9**	**179.7**
FCF margin	36.4%	12.5%	-5.9%	-7.7%	2.0%	5.4%	7.4%
FCF / net income	1.0x	0.4x	net cash	net cash	–	–	–
Capex / D&A	1.8x	3.9x	3.0x	1.7x	2.5x	2.3x	2.2x

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

EXHIBIT 65 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2022	FY2023	FY2024	FY2025
ROE	44.3%	25.5%	12.0%	2.7%
ROA	31.6%	20.3%	9.7%	2.0%
ROIC	72.5%	36.7%	12.8%	1.9%
Asset turnover	0.86x	0.71x	0.59x	0.47x
Equity multiplier	1.40x	1.26x	1.24x	1.30x

Source: SuperAnalyst valuation model.

APPENDIX B

Methodology, definitions and disclosures

Method in one paragraph

The price target triangulates relative lenses (target multiples on consensus forward numbers, anchored on peers or a sector reference table and adjusted for durable growth, leverage and earnings durability), a 10-year DCF (consensus for the near years, geometric growth decay, mean-reverting margins) and sector models (residual income, justified P/B, FFO/AFFO, dividends, mid-cycle EBITDA), weighted by company profile. Fair value is rolled forward at the cost of equity and reduced by dividends to give a 12-month target.

Guardrails

A lens outside 0.2×–5× the share price is excluded; a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is limited to 0.4×–2.5× the price; fewer than two usable lenses, or a result forced by a guardrail, is published NOT RATED. The Street consensus is anchored at up to 30% (scaled by analyst count; 15% when the count is unknown) and is always shown separately.

Rating bands

On the 12-month expected total return: OVERWEIGHT above +15%, ADD +5% to +15%, NEUTRAL −5% to +5%, REDUCE −15% to −5%, UNDERWEIGHT below −15%.

Scorecard scales

Valuation: expected return −30% to +50% mapped to 0–100. Growth: durable EPS growth 0–25% and FY+1 revenue −5% to +30%. Profitability: ROIC − WACC from −5 to +25 points and EBIT margin 0–35%. Earnings quality: Piotroski share of tests passed, OCF/net income 0.5–1.2 and accruals. Balance sheet: net debt/EBITDA, interest cover and Altman zone. Cycle fit: Reloj tilt −4 to +4 pp a year.

Quality screens

Piotroski F: nine binary tests of profitability, leverage/liquidity and efficiency; tests that cannot be computed from the available statement lines are excluded, not failed. Altman Z (original industrial form): above 2.99 safe, 1.81–2.99 grey, below 1.81 distress. Sloan accruals: (net income − operating cash flow) ÷ average assets.

Reloj de inversión

Phase probabilities and sector evidence come from the Reloj de inversión project's published data (github.com/Perez849/reloj-inversion). Tilt = Σ phase probability × shrunk excess return of the sector in that phase. It describes historical behaviour and is not an input to the price target.

Data and limits

Fundamentals and consensus come from yfinance; the company was classified as **Cyclical / Commodities (mid-cycle multiples + DCF)**. Forward numbers are analyst consensus where available and reported figures otherwise. A single third-party source can contain restatements, one-off items or classification differences that move the output; the model flags what it can detect and refuses to publish a number it cannot defend.

Definitions

EV: enterprise value = market capitalisation + net debt + minorities. NTM: next twelve months, a time-weighted blend of the two nearest forecast fiscal years. FCFF: free cash flow to the firm = NOPAT + D&A − capex − change in working capital. WACC: weighted average cost of capital. ROIC: NOPAT ÷ invested capital (debt + equity − cash). PEG: P/E ÷ durable earnings growth. Tilt: probability-weighted excess return of a sector against the US market, in percentage points a year.

Disclaimer

This research note is generated by an automated, sector-aware valuation engine from public data. It is an analytical tool, not investment advice, a recommendation or an offer to transact, and it is no substitute for fundamental judgement. Past performance and historical sector behaviour are not guides to future returns. Do your own due diligence.

Source: SuperAnalyst valuation model; yfinance; analyst consensus. Methodology and disclosures on page 15.